



Study Notes

National Minimum Wages

Background - Minimum Wages Act, 1948

- The **Minimum Wages Act 1948** (passed on March 15, 1948) is an **Act of Parliament** concerning **Indian labour law** that sets the **minimum wages** that must be **paid to skilled and unskilled labours**.
- The Act gives both the Central government and State government jurisdiction in fixing wages. The Centre fixes the National floor level Minimum Wage while states can fix a minimum wage in their respective states.
- The act is **legally non-binding**, but **statutory**.
- **Payment of wages below the minimum** wage rate amounts to **forced labour**.
- The **concept of minimum wage** was given by the '**Tripartite Committee of Fair Wage**', the first committee set up in **1948** to ascertain a living wage in the country. Following this the Act was enacted.

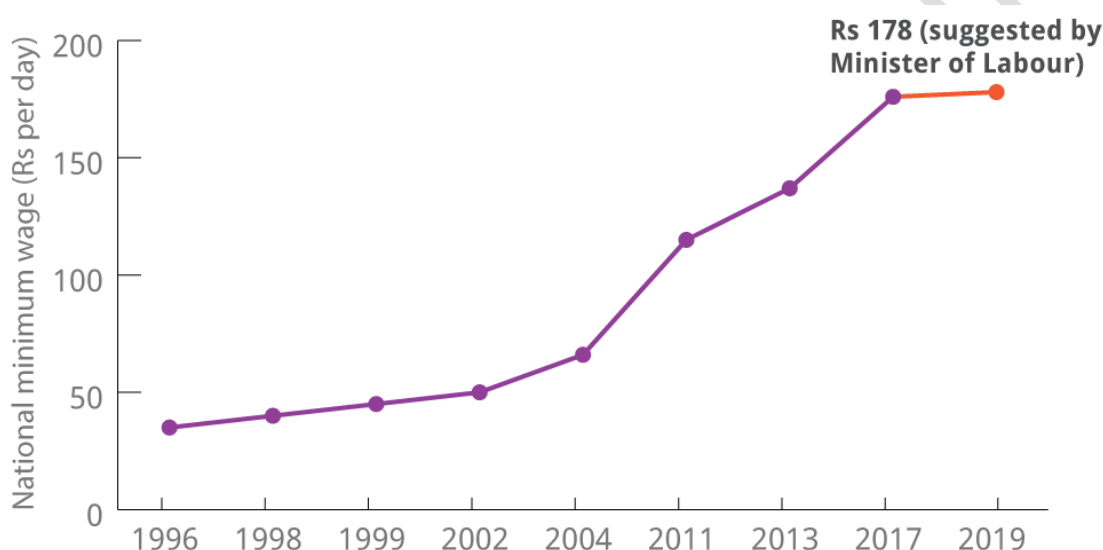
Box 1: Definitions of Wages

- **Minimum Wage**
The **Minimum wage Act, 1948** defines minimum wage as that level of wage that guarantees bare subsistence and preserves efficiency and also provides for education, medical requirements and some level of comfort.
- **Living Wage**
The term 'living wage' is defined in the **Indian Constitution** as that level of income for a worker which will ensure a basic standard of living including good health, dignity, comfort, education and provide for any contingency. However, to keep in mind an industry's capacity to pay the constitution has defined a 'fair wage'.
- **Fair Wage**
The Indian Constitution also refers to a fair wage which is that level of wage that not just maintains a level of employment, but seeks to increase it keeping in perspective the industry's capacity to pay.

- The Act specifies **minimum wage rates on a per day basis** and extends to the entire country.
- It is to be **revised at least once in five years**; however there is a provision to increase dearness allowance every two years.
- The norms for fixing and revision of minimum wages were **first recommended by the 15th Indian Labour Conference (ILC), 1957**. The norms were further strengthened by the Supreme Court in the judgement of Workmen vs. Reptakos Brett & Co. case in 1992.
- As per **Section 5** of the Minimum Wages Act, 1948, there are two ways of fixing and/or revising minimum wages
 - **Committee Method** - Committees and Sub-committees are set up to make recommendations or create inquiries.
 - **Notification Method**: The government publishes proposals and an official date in the Official Gazette.

Existing wage rate system

- The government uses a roundabout method of setting minimum wages that includes defining nearly 2,000 different types of jobs, just for unskilled workers and 429 categories of employment, with a minimum daily wage for each type of job.
- States set their own minimum wages for different jobs that sometimes differ significantly from the central minimum wages.
- Since the minimum wages fixed by states varied widely, in 1996, the Centre introduced a national floor wage. But it was not legally binding on states. The **floor wage** was initially Rs.35, but subsequent revisions brought it up to **Rs.176 in 2017**.
- The floor wage has been proposed at Rs.178 in 2019. (No revision since 2019)



Source: Ministry of labour, media reports

Expert committee on National Minimum Wages (Feb 2019)

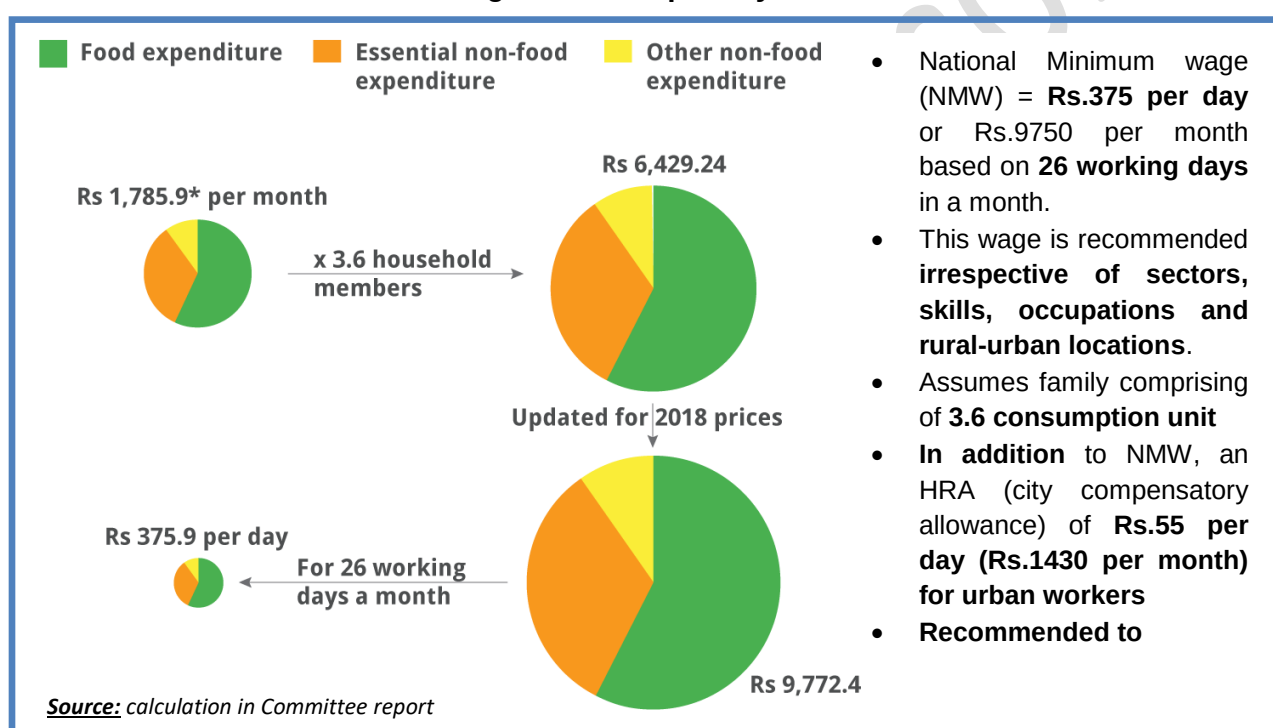
The latest committee set up to recommend a national minimum wage was set up. The details of the committee are as follows:

Particulars	Details
Committee set up in	January 2017
Committee set up by	Ministry of Labor and Employment, GoI
Chairman of committee	Mr. Anoop Satpathy, fellow of the VV Giri National Labour Institute
Purpose of Committee	to review and recommend ways to calculate the national minimum wage
Committee report submitted in	January 2019, made public in Feb 2019
Title of Report	"Determining the Methodology for Fixation of the National Minimum Wage"

The **major recommendations** of the committee are as follows:

- The committee has drawn **minimum wage estimates at national and regional levels.**
- **The calculation** is based on an “**improved**” **formula**, considering likely spending by workers' families on a mixed basket of balanced-diet meal and non-food expenditure from the CPI, adjusted for 2018 prices.
- The recommendations assumed a **2400 calorie diet** along with proteins ≥ 50 gm and fats ≥ 30 gm per day per (as against 2700 calorie diet assumed by ILC in 1957)
- Recommended **reviewing the consumption basket every 5 years**, subject to the availability of NSSO-CES data and within the period of 5 years - revising and updating the basic minimum wage at least in line with the CPI every 6 months.

Alternate 1 – minimum national wage of Rs.375 per day



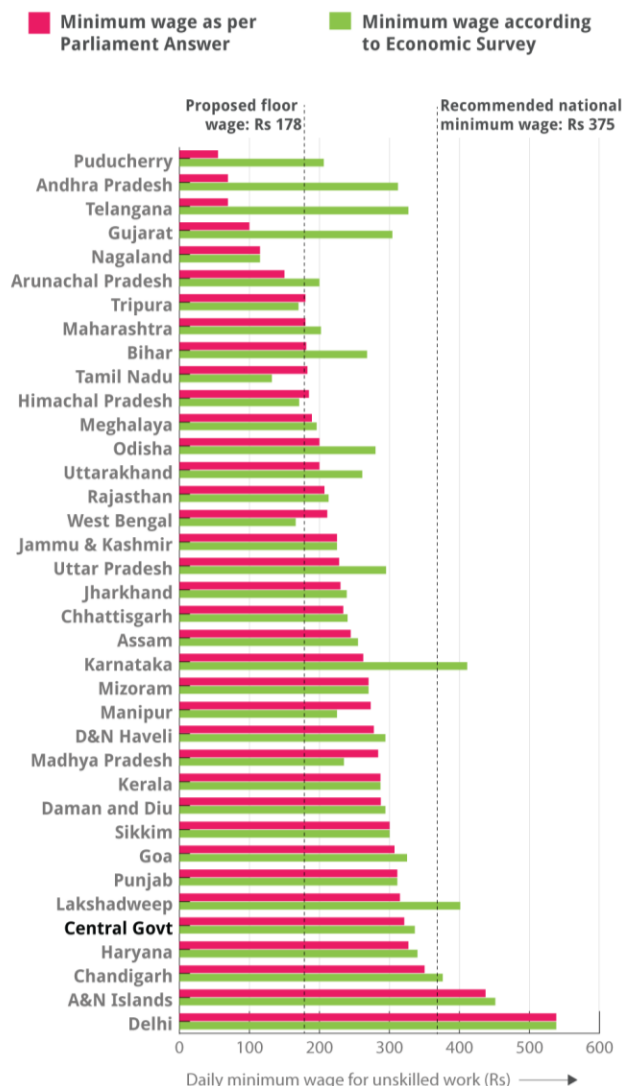
Alternate 2 – Region specific minimum wages

REGION 1	REGION 2	REGION 3	REGION 4	REGION 5
₹342/day or ₹ 8,892/month	₹380/day or ₹ 9,880/month	₹414/day or ₹ 11,622/month	₹447/day or ₹ 11,622/month	₹386/day or ₹ 10,036/month
Assam, Bihar, Jharkhand, MP, Odisha, UP and West Bengal	Andhra Pradesh, Telangana, Chhattisgarh, Rajasthan, J&K and Uttarakhand	Gujarat, Karnataka, Kerala, Maharashtra and Tamil Nadu	Delhi, Goa, HP, Haryana and Punjab	Arunachal Pradesh, Manipur, Meghalaya, Nagaland, Sikkim, Mizoram and Tripura

Source: Business standard

Proposed Wage Code Bill 2019

- Union Cabinet approved the Wage Code Bill on 3rd July, 2019.
- The Bill is the declaration of a national minimum floor wage to be set by the Central government. States cannot pay below this mandatory minimum floor wage.
- The Bill **proposed the national minimum wage to Rs.178 per day**, just Rs.2 more than what it was in 2017 and grossly below the recommended level of Rs.375 per day by the expert committee.
- The Code also mandates that a floor wage be paid for all types of employment, as against the list of various organized and unorganized sector list that was given under Minimum Wages Act.
- This floor wage is to have statutory protection. If a minimum wage is already higher than the floor wage, it cannot be reduced.
- Most States pay a statutory minimum wage higher than this already. The only states below this level are: Nagaland, Tamil Nadu, West Bengal, Tripura and Himachal Pradesh.



Pradesh.

- The **proposed Wage Code Bill has been met with strong opposition** from workers' unions across the country.

- The unions are demanding a floor level minimum wage of Rs.18000 adjusted for cost of living periodically and a pension of Rs.6000 per month.

- They are demanding that all workers should be registered by the government as workers, and it should be the responsibility of the government to ensure that the worker gets a living wage that can ensure him and his family a dignified human existence.

Source: Economic Survey 2018-18

Minimum wages and MGNREGA

Wage rates for workers under the Mahatma Gandhi National Rural Employment Guarantee Act (MGNREGA), 2005 are notified and revised annually based on Consumer Price Index-Agricultural Labourers (CPI-AL) by the Central Government in accordance with the provisions of Section 6(1) of the Mahatma Gandhi NREGA. The revised wage rates are made applicable from 1st April of the year. The CPI-(AL) is published by Labour Bureau, Shimla. MGNREGA wages are paid based on measurement of work done i.e. piece rate basis. Every State has its defined Schedule of Rates on the basis of which the work output is defined and used to calculate the wages for MGNREGA beneficiaries. The actual wage payable is calculated based on the output of the worker. A Committee under the chairpersonship of former Additional Secretary, Ministry of Rural Development was constituted to study among other things the appropriate index for revising MGNREGA wages. The Committee recommended using Consumer Price Index-Rural instead of the existing CPI-AL for revising MGNREGA wages every year. The Committee also recommended use of annual average instead of the existing practice of using December month index only. The recommendations of the Committee are under consideration in consultation with the Ministry of Finance.